

Totvs TOTS3

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by

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			2026	2027
Price:	34.00	EPS	1.78	2.12
Shares Out. (in M):	573	P/E	19	15
Market Cap (in \$M):	3,875	P/FCF	16	14
Net Debt (in \$M):	580	EBIT	1	1
TEV (in \$M):	4,455	TEV/EBIT	13	10

Description

I've owned Totvs since 2016. It's been written up once before, exactly 8 years ago in 2018 by rii136. It's an excellent post that I encourage you to read.

In the eight years since, shares compounded at a 21% CAGR while EPS compounded at a 26% CAGR. During this time, the business grew recurring revenue nearly 4x and EBITDA nearly 6x thanks to 900bps of margin expansion. Leadership has proven itself to be excellent capital allocators with well-timed M&A, equity issuances and repurchases.

Totvs is a demonstrably better business today than it was 8 years ago yet at 9x FY27 EV/EBITDA it trades slightly below the ~11x forward multiple of 2018. Yes, it's Brazil, and yes, it's SaaS, but it's the cheapest valuation I see globally for a well-run, dominant ERP franchise in an underpenetrated and growing market.

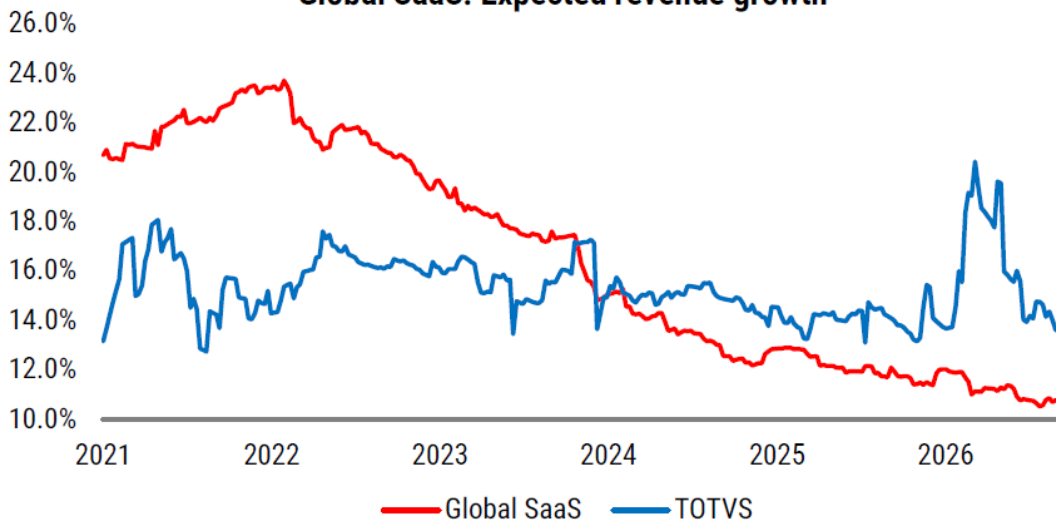
Business

Totvs is the leading ERP provider in Brazil. It's been the market leader for four decades, with a consistent 50% market share in the SMB space, distantly followed by SAP, Oracle and a long tail of niche providers. A quarter of Brazilian GDP runs through Totvs ERP solutions. The software is deeply localized for a tax and labor regime so complex that global vendors have spent twenty years failing to displace it, and it's embedded in the daily operation of businesses that can't function without it.

- 93% recurring revenue
- Double digit organic recurring revenue growth for 30 consecutive quarters (15% in 2Q26).
- R\$7.7bn ARR at 1H26, up 14%, with a 97.3% retention rate.
- 25.4% adj. EBITDA margin, +190bp year over year and +440bps since 2023.
- Clean, shareholder friendly financial reporting, with essentially no stock compensation and conservative capitalization policies

Totvs has demonstrated consistent double digit revenue growth, notably even over the last 3 years as global SaaS growth has slowed:

Global SaaS: Expected revenue growth



Source: Morgan Stanley, BBG

Management

Dennis Herszkowicz joined as CEO in 2019 and is one of the best executives I've ever come across. He resolved a serious succession issue and injected new strategic energy into the business, building two new reporting divisions, divesting or JVing out distracting side initiatives and introducing a shareholder-friendly capital allocation policy built on per-share metrics and ROIC.

He exited hardware, exited e-commerce via a JV with VTEX, profitably sold Dimensa, a non-core financial services software unit, and most notably spun the

remaining fintech business into a JV with Itau (more on this below).

He raised R\$2.5bn across two equity raises: R\$1.1bn in 2019 and R\$1.4bn in 2021 (at a well-timed R\$36.75/share). The first raise was deployed into M&A, while the second was partially deployed but held for several years.

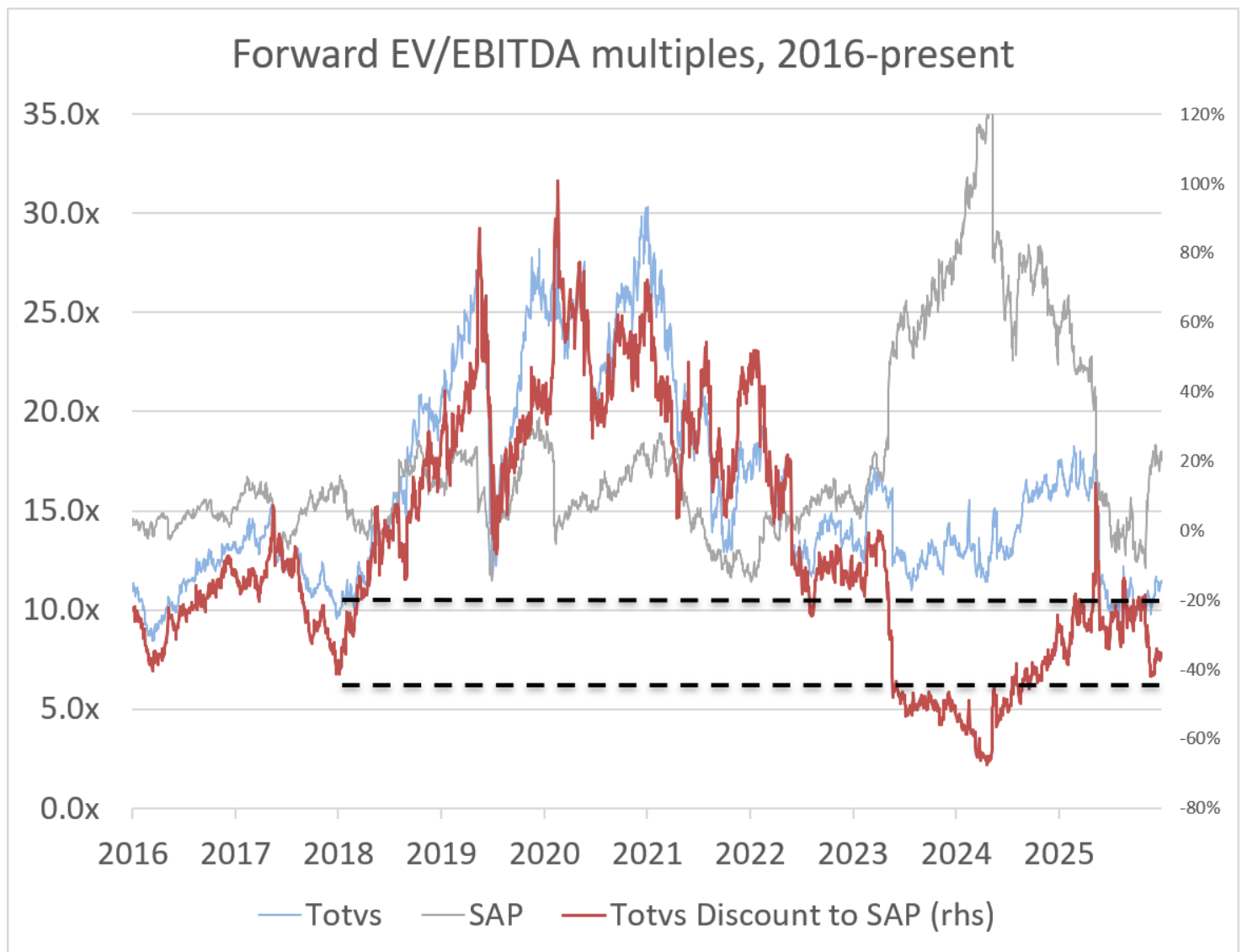
Then, in November 2023 he turned around and launched the company's first major share repurchase program, repurchasing R\$500m for an average price of R\$28/share. This was followed by a R\$600m program earlier this year that was completed in July at an average price of R\$32.17/share. A new 30m share program was authorized in August. All together, these will see ~11% of shares retired over the last 3 years.

The best example of Dennis and the board's capital allocation discipline is their patience in acquiring Linx, Brazil's leading retail POS/ERP software company. Dennis came to Totvs from Linx and it was well known that he wanted to acquire the business. In 2020 he had the opportunity to do so and engaged in a public bidding war with StoneCo. Despite the strategic fit and Dennis's history at Linx, they walked away, letting StoneCo acquire Linx for 32x trailing EBITDA. Five years later, after StoneCo failed to integrate Linx, Totvs acquired the core software assets for 13x EBITDA. The integration is ongoing and ahead of schedule, with Linx's margin passing 20% in 2Q26 (+200bps) and mgmt. confident Linx profitability will catch up to group level.

When you find good management, a dominant business, and a reasonable valuation, the hardest part is often simply holding on long enough and not getting in your own way.

Valuation

Despite being a materially better business today, Totvs currently trades at the same EV/EBITDA multiple (and the same discount to SAP) that it did in 2018:



On FY27 projections it is the cheapest it has been in a decade: at R\$34 you are paying about 9x 2027 EV/EBITDA and 15x 2027 earnings for a business growing recurring revenue in the mid-teens, with 25% EBITDA margins that are expanding and ~100% net income to FCF conversion.

Also notice that Totvs has traded at a premium to SAP for a majority the last decade.

Over the last decade Totvs has traded between 15x and 45x earnings. My view is that a fair multiple is somewhere in the high 20s, which is ~15x EV/EBITDA. Equity returns are amplified by the ongoing buyback program (~4% p.a.) and 2% dividend yield.

Given the under-penetration of ERP solutions in Brazil and the growth prospects of Totvs's two emerging divisions, I think the shares can continue compounding at >20% over time.

As a sanity check and recent comp, EQT recently took private Douzone Bizon, Korea's dominant domestic ERP vendor, at ~20.2x LTM EBITDA.

Techfin optionality

It's worth mentioning Techfin, the unfortunately named 50/50 joint venture with Itaú. The bank paid Totvs R\$410m for 50% in 2023, plus a R\$450m earn-out and R\$200m injection into the business. Today the business is running at roughly break-even, as Brazil is in the most restrictive credit cycle in at least a decade. The potential of this growing business isn't reflected in the Totvs share price.

Think of Techfin as ERP-enabled embedded finance. Using the operating data inside Totvs's software it underwrites and distributes credit and payment products to corporate customers and their supply chains. The JV is building off a product called Supplier, a receivables financing business Totvs acquired in 2020, but is developing and testing dozens of additional products since the JV closed in 2023.

Using ERP data to underwrite credit improves the ability to identify good payers. It is also proprietary and something traditional lenders and ratings agencies can't access independently. Hence Itaú's interest in this JV, which stands to cannibalize part of its own legacy corporate lending business. Totvs takes only symbolic credit risk, utilizing the FIDC wrapper and increasingly Itaú's own balance sheet. Portfolio duration is about 70 days, so the book reprices ~5 times a year, enabling consistent profitability while maintaining default rates well below market averages.

This JV has the potential to be a high-return, data-advantaged financial business attached to an enormous installed base through which roughly 25% of Brazilian GDP passes. With limited disclosures and no material profitability yet, I assign no value to Techfin in my base case.

AI Disruption

I won't bore you with my armchair view on AI, beyond saying that I think ERP is protected from AI disruption and best positioned to be the platform through which AI is delivered to business clients.

AI may force a transition from per-seat to per-outcome pricing, but ERP remains the system of record. ERP produces the unified, auditable data that everything else needs; it must be highly accurate and continuously updated in a country where the tax rules change constantly.

ERP costs average customers around 20bp of revenue. Nobody rebuilds that in-house or leaves for an AI upstart provider to save twenty basis points. Totvs is the incumbent that already sits inside the workflow, holds the data, and is trusted by the SMB. It is the natural channel through which those customers buy AI.

The Totvs ARR numbers are already showing this. In 2Q26, "AI enablers" were 28% of net ARR additions and one-third of incremental recurring revenue in the Management (ERP) division. It's still early days and I don't mean to dismiss the AI risk but am comfortable that the incumbent ERP provider will prove durable.

What could go wrong

- Brazil. Currency and rates. Revenue is essentially all domestic and contracts are inflation-indexed, which helps, but a real devaluation shows up directly in a dollar investor's return. Too expensive to hedge. This has been a ~300bps headwind to USD-denominated returns over the last decade.
- The credit cycle. Selic at these levels for longer keeps Techfin near break-even and keeps pressure on retention, which slipped 60bp in the quarter.
- AI. If I'm wrong about ERP's position in the stack, the multiple doesn't re-rate and probably compresses further as topline stagnates. No evidence of this yet.
- Execution. Linx is the largest integration the company has attempted, into a weak retail market. Early signs are positive so far. Remember Dennis is a Linx insider.
- Key-man risk. Dennis is an excellent leader. No reason to think he leaves soon, but a change in leadership exposes risks.

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Catalyst

- Investor Day on 13 October and Universo TOTVS, where AI integration will be further unveiled.
- Linx synergies continuing to land ahead of schedule.
- Techfin turning as the credit cycle normalizes.
- Continued buybacks at these prices.

Messages

No messages